

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-01

20230930-DK-BUTTERFLY-1, INC. v. BAL CONTAINER LINE CO., LIMITED

**COMPLAINANT 20230930-DK-BUTTERFLY-1, INC.’S
RESPONSE TO RESPONDENT BAL CONTAINER LINE CO.,
LIMITED’S MOTION FOR THIRD AMENDED SCHEDULING ORDER**

Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant” or “BBBY”), respectfully submits this response to Respondent BAL Container Line Co., Limited’s (“Respondent” or “BAL”) Motion for Third Amended Scheduling Order (the “Motion”). Although BBBY informed BAL that it would not oppose BAL’s further request for an extension, BBBY was unaware that BAL would use its extension motion to surface several misrepresentations of the parties’ engagement with one another, and thus, while BBBY still does not oppose the Motion, it files this response to address BAL’s unfounded attacks on BBBY in its Motion.

BAL incorrectly claims that BBBY “has unnecessarily delayed BAL’s ability to meaningfully implement an ESI search protocol and produce responsive documents” (Motion at 1.) That claim is simply untrue and, indeed, *nothing* in the Motion suggests that *any* action by BBBY prevented BAL from running search terms or complying with the Presiding Officer’s July 16, 2025 Order (Dkt. 36; the “MTC Order”). BBBY sent BAL a proposed ESI Protocol and set of search terms *several months ago*, and after hearing *nothing* from BAL on them—even in the weeks after the Presiding Officer issued the MTC Order—until August 12, 2025, BBBY promptly recirculated a partially updated draft ESI Protocol on August 13, 2025, seeking to confirm whether

BAL would finally meaningfully engage with BBY on reaching agreement on ESI parameters and search terms in light of the MTC Order. BAL thereafter took another nine days to respond with suggested changes. The “significant time” that BAL allegedly spent over the course of those nine days editing the ESI Protocol to conform with the MTC Order—edits with which BBY immediately and fully agreed—resulted in edits on *only two* of the seventeen pages of the document, both time-stamped the day before the parties were scheduled to meet and confer regarding the draft, which BAL then proceeded unilaterally to cancel. Indeed, BAL’s counsel affirmatively stated on August 22, 2025, “I apologize that this has taken so long.” This context refutes BAL’s false claim that BBY somehow attempted to push through an ESI Protocol that did not comply with the MTC Order.

When the parties confirmed that they were at an impasse regarding custodians on September 3, 2025, BAL suggested that the parties file a joint motion for a discovery ruling and BBY confirmed that it was open to that possibility. BAL subsequently responded suggesting that the parties file a short “Joint Request for Permission to File Joint Request for Discovery Ruling” on September 5 and then subsequently seek to file the actual joint request for a discovery ruling no later than September 19, four days *after* BAL’s deadline to produce documents in response to the Presiding Officer’s Second Revised Scheduling Order (Dkt. 39). BBY responded that it remained open to a joint filing but would not be amenable to filing the substantive request for a discovery ruling *after* BAL’s September 15 production deadline, which would be inconsistent with the Presiding Officer’s orders and the Federal Maritime Commission’s (the “Commission”) Rules of Practice and Procedure (the “Rules”). Again seeking to accommodate BAL, BBY suggested that the parties simply file a single joint motion presenting the discovery impasse to the Presiding Officer. When BAL indicated willingness to submit a single joint filing, BBY suggested a

deadline of September 10, 2025, in light of BAL's impending September 15 compliance deadline, to permit the Presiding Officer as much time as possible to review the joint filing ahead of that deadline. BAL responded that the *earliest* it could file due to counsel's caseload was Thursday, September 11, and BBY responded that, given that timing, it would simply proceed with filing its own motion (which effectively would give BAL *more* time to respond to it under the Commission's Rules). BAL omitted all of this context in its motion, effectively ignoring BBY's efforts to collaborate in good faith and, perhaps most significantly, omitting BAL's explicit indication to BBY *from September 4* that—regardless of the “custodial dispute” highlighted in the Motion—*BAL had no intention of meeting its September 15 production deadline.*

Although BAL details in its Motion its claimed “significant effort to collect data”, BAL never raised these issues with BBY and, now that there are no remaining disputes regarding search terms, BAL never offered to proceed with the searches of the all-but-two custodians for which there was no dispute (and who thus are not at issue in BBY's pending motion to compel), which would obviate any “delay” now claimed by BAL.

BAL's representation that it has worked diligently with BBY to draft a mutually agreeable ESI Protocol omits the fact that BAL ignored the ESI Protocol that BBY had shared with BAL *four months prior*, despite the fact that there were unfulfilled discovery requests from BBY that were unaffected by BBY's first motion to compel. BBY asked multiple times—on July 24, July 28, and August 6—whether BAL intended to respond to those pending original discovery requests and produce responsive documents. *BAL never responded to these inquiries.*

BAL's assertion that BBY's filing of a unilateral motion to compel was unreasonable (1) omits BBY's aforementioned attempts, over the course of multiple days, to accommodate BAL's suggestion to file jointly, (2) ignores that BAL could choose to respond to BBY's second motion

to compel on an expedited basis, and (3) skirts the issue that *none of the delays complained of were caused by BBY*, which had been attempting to work with BAL on an ESI Protocol for several months, and (4) further skirts the issue that BBY's second motion to compel does not in any way prevent BAL from conducting searches and review for its many custodians who are not in dispute.

BAL asserts that it is stalled against its will because of its narrow discovery dispute regarding two custodians and BBY's pending motion to compel on that issue. It is plainly unconvincing that the parties' discussion of the ESI Protocol—initially delayed *for months* by BAL, and further delayed by BAL's own admission—has “halted” a mandatory process that BAL has been on notice of *since at least July 16*, when the Presiding Officer issued the MTC Order and the Revised Scheduling Order (Dkt. 37).

* * *

BBY has no desire to engage in back-and-forth accusations regarding discovery delays; it simply wishes to engage in timely and efficient discovery. BAL's blatant misrepresentations in its Motion, however, necessitated this response to make clear that BBY has, in fact, worked in good faith with BAL to move discovery along. The record of this action shows that all delays by BAL in fulfilling its discovery obligations have been issues entirely of its own making:

1. BAL's initial document production consisted of *a single five-page PDF* despite the fact that BAL had left multiple BBY discovery requests unchallenged (e.g., Request for Production No. 12, seeking “Documents sufficient to show Your ownership, ownership structure, and corporate structure from January 1, 2021 through the present.”).

2. BAL failed to engage in discussions regarding BBY's proposed ESI Protocol for *four months* despite unfulfilled discovery requests pending over the course of the entire summer.
3. BAL delayed in providing a substantive update to the proposed search terms after BBY recirculated them.
4. Nothing raised in the Motion prevents BAL from conducting searches and review on the all-but-two of its custodians not currently at issue in BBY's second motion to compel in order to comply at least partially with the MTC Order's September 15, 2025 deadline.

Again, BBY does not oppose BAL's request for a further extension of the discovery schedule in order to facilitate BAL's compliance with its discovery obligations under the Rules, the MTC Order, and the Presiding Officer's decision on BBY's pending second motion to compel. In light of BAL's extraordinary delays, however, BBY reserves all rights, arguments, and positions in that connection, including without limitation under 46 C.F.R. Sections 502.150(b) and 502.65 and 46 U.S.C. Section 41302(d).

[SIGNATURE PAGE FOLLOWS]

Dated: September 12, 2025

Respectfully submitted,

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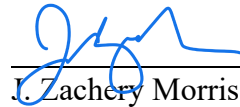
Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent BAL Container Line Co., Limited by emailing a copy to its counsel of record listed below:

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